CHAPTER TWO

Three Ideologies of Political Economy

OVER THE PAST century and a half, the ideologies of liberalism, nationalism, and Marxism have divided humanity. This book uses "ideology" to refer to "systems of thought and belief by which [individuals and groups] explain . . . how their social system operates and what principles it exemplifies" (Heilbroner, 1985, p. 107). The conflict among these three moral and intellectual positions has revolved around the role and significance of the market in the organization of society and economic affairs.

Through an evaluation of the strengths and weaknesses of these three ideologies it is possible to illuminate the study of the field of international political economy. The strengths of each perspective set forth here will be applied to subsequent discussions of specific issues, such as those of trade, investment, and development. Although my values are those of liberalism, the world in which we live is one best described by the ideas of economic nationalism and occasionally by those of Marxism as well. Eclecticism may not be the route to theoretical precision, but sometimes it is the only route available.

The three ideologies differ on a broad range of questions such as: What is the significance of the market for economic growth and the distribution of wealth among groups and societies? What ought to be the role of markets in the organization of domestic and international society? What is the effect of the market system on issues of war or peace? These and similar questions are central to discussions of international political economy.

These three ideologies are fundamentally different in their conceptions of the relationships among society, state, and market, and it may not be an exaggeration to say that every controversy in the field of international political economy is ultimately reducible to differing conceptions of these relationships. The intellectual clash is not merely of historical interest. Economic liberalism, Marxism, and economic nationalism are all very much alive at the end of the twentieth century; they define the conflicting perspectives that individuals have with regard to the implications of the market system for domestic and international society. Many of the issues that were controversial in the

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eighteenth and nineteenth centuries are once again being intensely debated.

It is important to understand the nature and content of these contrasting "ideologies" of political economy. The term "ideology" is used rather than "theory" because each position entails a total belief system concerning the nature of human beings and society and is thus akin to what Thomas Kuhn has called a paradigm (Kuhn, 1962). As Kuhn demonstrates, intellectual commitments are held tenaciously and can seldom be dislodged by logic or by contrary evidence. This is due to the fact that these commitments or ideologies allege to provide scientific descriptions of how the world *does* work while they also constitute normative positions regarding how the world *should* work.

Although scholars have produced a number of "theories" to explain the relationship of economics and politics, these three stand out and have had a profound influence on scholarship and political affairs. In highly oversimplified terms, economic nationalism (or, as it was originally called, mercantilism), which developed from the practice of statesmen in the early modern period, assumes and advocates the primacy of politics over economics. It is essentially a doctrine of state-building and asserts that the market should be subordinate to the pursuit of state interests. It argues that political factors do, or at least should, determine economic relations. Liberalism, which emerged from the Enlightenment in the writings of Adam Smith and others, was a reaction to mercantilism and has become embodied in orthodox economics. It assumes that politics and economics exist, at least ideally, in separate spheres; it argues that markets—in the interest of efficiency, growth, and consumer choice—should be free from political interference. Marxism, which appeared in the mid-nineteenth century as a reaction against liberalism and classical economics, holds that economics drives politics. Political conflict arises from struggle among classes over the distribution of wealth. Hence, political conflict will cease with the elimination of the market and of a society of classes. Since both nationalism and Marxism in the modern era have developed largely in reaction to the tenets of liberal economics, my discussion and evaluation of these ideologies will begin with economic liberalism.

The Liberal Perspective

Some scholars assert that there is no such thing as a liberal theory of political economy because liberalism separates economics and politics from one another and assumes that each sphere operates according to

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particular rules and a logic of its own.[1] This view is itself, however, an ideological position and liberal theorists do in fact concern themselves with both political and economic affairs. Whether it is made explicit in their writings or is merely implicit, one can speak of a liberal theory of political economy.

There is a set of values from which liberal theories of economics and of politics arise; in the modern world these political and economic values have tended to appear together (Lindblom, 1977). Liberal economic theory is committed to free markets and minimal state intervention, although, as will be pointed out below, the relative emphasis on one or the other may differ. Liberal political theory is committed to individual equality and liberty, although again the emphasis may differ. We are primarily concerned here with the economic component of liberal theory.

The liberal perspective on political economy is embodied in the discipline of economics as it has developed in Great Britain, the United States, and Western Europe. From Adam Smith to its contemporary proponents, liberal thinkers have shared a coherent set of assumptions and beliefs about the nature of human beings, society, and economic activities. Liberalism has assumed many forms—classical, neo-classical, Keynesian, monetarist, Austrian, rational expectation, etc. These variants range from those giving priority to equality and tending toward social democracy and state interventionism to achieve this objective, to those stressing liberty and noninterventionism at the expense of social equality. All forms of economic liberalism, however, are committed to the market and the price mechanism as the most efficacious means for organizing domestic and international economic relations. Liberalism may, in fact, be defined as a doctrine and set of principles for organizing and managing a market economy in order to achieve maximum efficiency, economic growth, and individual welfare.

Economic liberalism assumes that a market arises spontaneously in order to satisfy human needs and that, once it is in operation, it functions in accordance with its own internal logic. Human beings are by nature economic animals, and therefore markets evolve naturally without central direction. As Adam Smith put it, it is inherent in mankind to "truck, barter and exchange." To facilitate exchange and improve

[1] The term "liberal" is used in this book in its European connotation, that is, a commitment to individualism, free market, and private property. This is the dominant perspective of most American economists and of economics as taught in American universities. Thus, both Paul Samuelson and Milton Friedman, despite important differences between their political and theoretical views, are regarded here as representatives of the American liberal tradition.

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their well-being, people create markets, money, and economic institutions. Thus, in his "The Economic Organization of a P.o.W. Camp," R. A. Radford (1945) shows how a complex and sophisticated market arose spontaneously in order to satisfy human wants, but his tale also demonstrates how a form of government was necessary to police and maintain this primitive market system.[2]

The rationale for a market system is that it increases economic efficiency, maximizes economic growth, and thereby improves human welfare. Although liberals believe that economic activity also enhances the power and security of the state, they argue that the primary objective of economic activity is to benefit individual consumers. Their ultimate defense of free trade and open markets is that they increase the range of goods and services available to the consumer.

The fundamental premise of liberalism is that the individual consumer, firm, or household is the basis of society. Individuals behave rationally and attempt to maximize or satisfy certain values at the lowest possible cost to themselves. Rationality applies only to endeavor, not to outcome. Thus, failure to achieve an objective due to ignorance or some other cause does not, according to liberals, invalidate their premise that individuals act on the basis of a cost/benefit or means/ends calculus. Finally, liberalism argues that an individual will seek to acquire an objective until a market equilibrium is reached, that is, until the costs associated with achieving the objective are equal to the benefits. Liberal economists attempt to explain economic and, in some cases, all human behavior on the basis of these individualistic and rationalistic assumptions (Rogowski, 1978).

Liberalism also assumes that a market exists in which individuals have complete information and are thus enabled to select the most beneficial course of action. Individual producers and consumers will be highly responsive to price signals, and this will create a flexible economy in which any change in relative prices will elicit a corresponding change in patterns of production, consumption, and economic institutions; the latter are conceived ultimately to be the product rather than the cause of economic behavior (Davis and North, 1971). Further, in a truly competitive market, the terms of exchange are determined solely by considerations of supply and demand rather than by the exercise of power and coercion. If exchange is voluntary, both parties benefit. In colloquial terms, a "free exchange is no robbery."

Economics, or rather the economics taught in most American universities (what Marxists call orthodox or bourgeois economics), is as-

[2] I would like to thank Michael Doyle for bringing this interesting article to my attention.

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sumed to be an empirical science of maximizing behavior. Behavior is believed to be governed by a set of economic "laws" that are impersonal and politically neutral; therefore, economics and politics should and can be separated into distinct spheres. Governments should not intervene in the market except where a "market failure" exists (Baumol, 1965) or in order to provide a so-called public or collective good (Olson, 1965).

A market economy is governed principally by the law of demand (Becker, 1976, p. 6). This "law" (or, if one prefers, assumption) holds that people will buy more of a good if the relative price falls and less if it rises; people will also tend to buy more of a good as their relative income rises and less as it falls. Any development that changes the relative price of a good or the relative income of an actor will create an incentive or disincentive to acquire (or produce) more or less of the good; this law in turn has profound ramifications throughout the society. Although certain exceptions to this simple concept exist, it is fundamental to the operation and success of a market system of economic exchange.

On the supply side of the economy, liberal economics assumes that individuals pursue their interests in a world of scarcity and resource constraints. This is a fundamental and inescapable condition of human existence. Every decision involves an opportunity cost, a tradeoff among alternative uses of available resources (Samuelson, 1980, p. 27). The basic lesson of liberal economics is that "there is no such thing as a free lunch"; to get something one must be willing to give up something else.

Liberalism also assumes that a market economy exhibits a powerful tendency toward equilibrium and inherent stability, at least over the long term. This "concept of a self-operating and self-correcting equilibrium achieved by a balance of forces in a rational universe" is a crucial one for the economists' belief in the operation of markets and the laws that are believed to govern them (Condliffe, 1950, p. 112). If a market is thrown into a state of disequilibrium due to some external (exogenous) factor such as a change in consumer tastes or productive technology, the operation of the price mechanism will eventually return it to a new state of equilibrium. Prices and quantities will once again balance one another. Thus, a change in either the supply or the demand for a good will elicit corresponding changes in the price of the good. The principal technique of modern economic analysis, comparative statics, is based on this assumption of a tendency toward systemic equilibrium.[3]

[3] The method of comparative statics was invented by David Ricardo. It consists of a model of a market in a state of equilibrium, the introduction of an exogenous variable

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An additional liberal assumption is that a basic long-term harmony of interests underlies the market competition of producers and consumers, a harmony that will supercede any temporary conflict of interest. Individual pursuit of self-interest in the market increases social well-being because it leads to the maximization of efficiency, and the resulting economic growth eventually benefits all. Consequently, everyone will gain in accordance with his or her contribution to the whole, but, it should be added, not everyone will gain equally because individual productivities differ. Under free exchange, society as a whole will be more wealthy, but individuals will be rewarded in terms of their marginal productivity and relative contribution to the overall social product.

Finally, most present-day liberal economists believe in progress, defined most frequently as an increase in wealth per capita. They assert that the growth of a properly functioning economy is linear, gradual, and continuous (Meier and Baldwin, 1963, p. 70). It proceeds along what an economist colleague has called "the MIT standard equilibrium growth curve." Although political or other events—wars, revolution, or natural disasters—can dramatically disrupt this growth path, the economy will return eventually to a stable pattern of growth that is determined principally by increases in population, resources, and productivity. Moreover, liberals see no necessary connection between the process of economic growth and political developments such as war and imperialism; these political evils affect and may be affected by economic activities, but they are essentially caused by political and not by economic factors. For example, liberals do not believe that any causal relationship existed between the advance of capitalism in the late nineteenth century and the upheavals of imperialism after 1870 and the outbreak of the First World War. Liberals believe economics is progressive and politics is retrogressive. Thus they conceive of progress as divorced from politics and based on the evolution of the market.

On the basis of these assumptions and commitments, modern economists have constructed the empirical science of economics. Over the past two centuries, they have deduced the "laws" of maximizing behavior, such as those of the theory of comparative advantage, the theory of marginal utility, and the quantity theory of money. As Arthur Lewis has commented to me, economists discover new laws at the rate of about one per quarter century. These "laws" are both contingent and

into the system, and a calculation of the new equilibrium state. Because this mode of analysis is generally unconcerned with the origins of the exogenous variable itself, it is limited as a means of examining the problem of economic change.

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normative. They assume the existence of economic man—a rational, maximizing creature—a variant of the species homo sapiens that has been relatively rare in human history and has existed only during peculiar periods of favorable conditions. Further, these laws are normative in that they prescribe how a society must organize itself and how people must behave if they are to maximize the growth of wealth. Both individuals and societies may violate these laws, but they do so at the cost of productive efficiency. Today, the conditions necessary for the operation of a market economy exist, and the normative commitment to the market has spread from its birthplace in Western civilization to embrace an increasingly large portion of the globe. Despite setbacks, the modern world has moved in the direction of the market economy and of increasing global economic interdependence precisely because markets *are* more efficient than other forms of economic organization (Hicks, 1969).

In essence, liberals believe that trade and economic intercourse are a source of peaceful relations among nations because the mutual benefits of trade and expanding interdependence among national economies will tend to foster cooperative relations. Whereas politics tends to divide, economics tends to unite peoples. A liberal international economy will have a moderating influence on international politics as it creates bonds of mutual interests and a commitment to the status quo. However, it is important to emphasize again that although everyone will, or at least can, be better off in "absolute" terms under free exchange, the "relative" gains will differ. It is precisely this issue of relative gains and the distribution of the wealth generated by the market system that has given rise to economic nationalism and Marxism as rival doctrines.

The Nationalist Perspective

Economic nationalism, like economic liberalism, has undergone several metamorphoses over the past several centuries. Its labels have also changed: mercantilism, statism, protectionism, the German Historical School, and, recently, New Protectionism. Throughout all these manifestations, however, runs a set of themes or attitudes rather than a coherent and systematic body of economic or political theory. Its central idea is that economic activities are and should be subordinate to the goal of state building and the interests of the state. All nationalists ascribe to the primacy of the state, of national security, and of military power in the organization and functioning of the international system. Within this general commitment two basic positions can be discerned. Some nationalists consider the safeguarding of national economic in-

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terests as the minimum essential to the security and survival of the state. For lack of a better term, this generally defensive position may be called "benign" mercantilism.[4] On the other hand, there are those nationalists who regard the international economy as an arena for imperialist expansion and national aggrandizement. This aggressive form may be termed "malevolent" mercantilism. The economic policies of Nazi economic minister Hjalmar Schacht toward eastern Europe in the 1930s were of this type (Hirschman, 1969).

Although economic nationalism should be viewed as a general commitment to state building, the precise objectives pursued and the policies advocated have differed in different times and in different places. Yet, as Jacob Viner has cogently argued in an often-quoted passage, economic nationalist (or what he calls mercantilist) writers share convictions concerning the relationship of wealth and power:

> I believe that practically all mercantilists, whatever the period, country, or status of the particular individual, would have subscribed to all of the following propositions: (1) wealth is an absolutely essential means to power, whether for security or for aggression; (2) power is essential or valuable as a means to the acquisition or retention of wealth; (3) wealth and power are each proper ultimate ends of national policy; (4) there is long-run harmony between these ends, although in particular circumstances it may be necessary for a time to make economic sacrifices in the interest of military security and therefore also of long-run prosperity (Viner, 1958, p. 286).

Whereas liberal writers generally view the pursuit of power and wealth, that is, the choice between "guns and butter," as involving a tradeoff, nationalists tend to regard the two goals as being complementary (Knorr, 1944, p. 10).

Economic nationalists stress the role of economic factors in international relations and view the struggle among states—capitalist, socialist, or whatever—for economic resources as pervasive and indeed inherent in the nature of the international system itself. As one writer has put it, since economic resources are necessary for national power, every conflict is at once both economic and political (Hawtrey, 1952). States, at least over the long run, simultaneously pursue wealth and national power.

As it evolved in the early modern era, economic nationalism responded to and reflected the political, economic, and military developments of the sixteenth, seventeenth, and eighteenth centuries: the

[4] One can identify Friedrich List with the benign mercantilist position. List believed that true cosmopolitanism could only be possible when all states had been developed. For a discussion of benign and malevolent mercantilism, see Gilpin 1975, pp. 234-37 and Chapter Ten below.

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emergence of strong national states in constant competition, the rise of a middle class devoted at first to commerce and increasingly to manufacturing, and the quickening pace of economic activities due to changes within Europe and the discovery of the New World and its resources. The evolution of a monetarized market economy and the wide range of changes in the nature of warfare that have been characterized as the "Military Revolution" were also critically important (Roberts, 1956). Nationalists (or "mercantilists," as they were then called) had good cause to identify a favorable balance of trade with national security.

For several reasons, the foremost objective of nationalists is industrialization (Sen, 1984). In the first place, nationalists believe that industry has spillover effects (externalities) throughout the economy and leads to its overall development. Second, they associate the possession of industry with economic self-sufficiency and political autonomy. Third, and most important, industry is prized because it is the basis of military power and central to national security in the modern world. In almost every society, including liberal ones, governments pursue policies favorable to industrial development. As the mercantilist theorist of American economic development, Alexander Hamilton, wrote: "not only the wealth but the independence and security of a country appear to be materially connected to the prosperity of manufactures" (quoted in Rostow, 1971, p. 189); no contemporary dependency theorist has put it better. This nationalist objective of industrialization, as will be argued in Chapter Three, is itself a major source of economic conflict.

Economic nationalism, both in the early modern era and today, arises in part from the tendency of markets to concentrate wealth and to establish dependency or power relations between the strong and the weak economies. In its more benign or defensive form it attempts to protect the economy against untoward external economic and political forces. Defensive economic nationalism frequently exists in less developed economies or in those advanced economies that have begun to decline; such governments pursue protectionist and related policies to protect their nascent or declining industries and to safeguard domestic interests. In its more malevolent form, economic nationalism is the conduct of economic warfare. This type is most prevalent in expanding powers. The classic example is Nazi Germany.

In a world of competing states, the nationalist considers relative gain to be more important than mutual gain. Thus nations continually try to change the rules or regimes governing international economic relations in order to benefit themselves disproportionately with respect to other economic powers. As Adam Smith shrewdly pointed out, everyone wants to be a monopolist and will attempt to be one unless prevented

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by competitors. Therefore, a liberal international economy cannot develop unless it is supported by the dominant economic states whose own interests are consistent with its preservation.

Whereas liberals stress the mutual benefits of international commerce, nationalists as well as Marxists regard these relations as basically conflictual. Although this does not rule out international economic cooperation and the pursuit of liberal policies, economic interdependence is never symmetrical; indeed, it constitutes a source of continuous conflict and insecurity. Nationalist writers from Alexander Hamilton to contemporary dependency theorists thus emphasize national self-sufficiency rather than economic interdependence.

Economic nationalism has taken several different forms in the modern world. Responding to the Commercial Revolution and the expansion of international trade throughout the early period, classical or financial mercantilism emphasized the promotion of trade and a balance of payments surplus. Following the Industrial Revolution, industrial mercantilists like Hamilton and List stressed the supremacy of industry and manufacturing over agriculture. Following the First and Second World Wars these earlier concerns have been joined by a powerful commitment to the primacy of domestic welfare and the welfare state. In the last decades of this century, the increasing importance of advanced technology, the desire for national control over the "commanding heights" of the modern economy, and the advent of what might best be called "policy competitiveness" have become the distinctive features of contemporary mercantilism. In all ages, however, the desire for power and independence have been the overriding concern of economic nationalists.

Whatever its relative strengths and weaknesses as an ideology or theory of international political economy, the nationalist emphasis on the geographic location and the distribution of economic activities provide it with powerful appeal. Throughout modern history, states have pursued policies promoting the development of industry, advanced technology, and those economic activities with the highest profitability and generation of employment within their own borders. As far as they can, states try to create an international division of labor favorable to their political and economic interests. Indeed, economic nationalism is likely to be a significant influence in international relations as long as the state system exists.

The Marxist Perspective

Like liberalism and nationalism, Marxism has evolved in significant ways since its basic ideas were set forth by Karl Marx and Friedrich En-

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international conflict and political change (Gilpin, 1981). However, the assumptions of the two theories regarding the basis of human motivation, the theory of the state, and the nature of the international system are fundamentally different. Marxists regard human nature as malleable and as easily corrupted by capitalism and correctable by socialism; realists believe that political conflict results from an unchanging human nature.

Whereas Marxists believe that the state is ultimately the servant of the dominant economic class, realists see the state as a relatively autonomous entity pursuing national interests that cannot be reduced to the particularistic interests of any class. For Marxists, the international system and foreign policy are determined by the structure of the domestic economy; for realists, the nature of the international system is the fundamental determinant of foreign policy. In short, Marxists regard war, imperialism, and the state as evil manifestations of a capitalism that will disappear with the communist revolution; realists hold them to be inevitable features of an anarchical international political system.

The difference between the two perspectives, therefore, is considerable. For the Marxist, though the state and the struggles among states are a consequence of the capitalist mode of production, the future will bring a realm of true harmony and peace following the inevitable revolution that the evil capitalist mode of production will spawn. The realist, on the other hand, believes there will be no such nirvana because of the inherently self-centered nature of human beings and the anarchy of the international system itself. The struggle among groups and states is virtually ceaseless, although there is occasionally a temporary respite. It seems unlikely that either prediction will ever receive scientific verification.

Each of the three perspectives has strengths and weaknesses, to be further explored below. Although no perspective provides a complete and satisfactory understanding of the nature and dynamism of the international political economy, together they provide useful insights. They also raise important issues that will be explored in succeeding chapters.

Critique of Economic Liberalism

Liberalism embodies a set of analytical tools and policy prescriptions that enable a society to maximize its return from scarce resources; its commitment to efficiency and the maximization of total wealth provides much of its strength. The market constitutes the most effective means for organizing economic relations, and the price mechanism operates to ensure that mutual gain and hence aggregate social benefit

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tend to result from economic exchange. In effect, liberal economics says to a society, whether domestic or international, "if you wish to be wealthy, this is what you must do."

From Adam Smith to the present, liberals have tried to discover the laws governing the wealth of nations. Although most liberals consider the laws of economics to be inviolable laws of nature, these laws may best be viewed as prescriptive guides for decision makers. If the laws are violated, there will be costs; the pursuit of objectives other than efficiency will necessarily involve an opportunity cost in terms of lost efficiency. Liberalism emphasizes the fact that such tradeoffs always exist in national policy. An emphasis on equity and redistribution, for example, is doomed to failure in the long run if it neglects considerations of efficiency. For a society to be efficient, as socialist economies have discovered, it cannot totally disregard the pertinent economic "laws."

The foremost defense of liberalism is perhaps a negative one. Although it may be true, as Marxists and some nationalists argue, that the alternative to a liberal system could be one in which all gain equally, it is also possible that the alternative could be one in which all *lose* in absolute terms. Much can be said for the liberal harmony of interest doctrine; yet, as E. H. Carr has pointed out, evidence to support this doctrine has generally been drawn from historical periods in which there was "unparalleled expansion of production, population and prosperity" (Carr, 1951 [1939], p. 44). When sustaining conditions break down (as happened in the 1930s and threatens to occur again in the closing decades of the century), disharmony displaces harmony and, I shall argue, the consequent breakdown of liberal regimes tends to lead to economic conflict wherein everyone loses.

The major criticism leveled against economic liberalism is that its basic assumptions, such as the existence of rational economic actors, a competitive market, and the like, are unrealistic. In part, this attack is unfair in that liberals knowingly make these simplifying assumptions in order to facilitate scientific research; no science is possible without them. What is more important, as defenders correctly point out, is that they should be judged by their results and ability to predict rather than by their alleged reality (Posner, 1977, ch. 1). From this perspective and within its own sphere, economics has proven to be a powerful analytical tool.

By the same token, however, liberal economics can be criticized in several important respects. As a means to understand society and especially its dynamics, economics is limited; it cannot serve as a comprehensive approach to political economy. Yet liberal economists have tended to forget this inherent limitation, to regard economics as the

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master social science, and to permit economics to become imperialistic. When this occurs, the nature and basic assumptions of the discipline can lead the economist astray and limit its utility as a theory of political economy.

The first of these limitations is that economics artificially separates the economy from other aspects of society and accepts the existing sociopolitical framework as a given, including the distribution of power and property rights; the resource and other endowments of individuals, groups, and national societies; and the framework of social, political, and cultural institutions. The liberal world is viewed as one of homogeneous, rational, and equal individuals living in a world free from political boundaries and social constraints. Its "laws" prescribe a set of maximizing rules for economic actors regardless of where and with what they start; yet in real life, one's starting point most frequently determines where one finishes (Dahrendorf, 1979).

Another limitation of liberal economics as a theory is a tendency to disregard the justice or equity of the outcome of economic activities. Despite heroic efforts to fashion an "objective" welfare economics, the distribution of wealth within and among societies lies outside the primary concern of liberal economics. There is some truth in the Marxist criticism that liberal economics is a tool kit for managing a capitalist or market economy. Bourgeois economics is, in the Marxist view, a discipline of engineering rather than a holistic science of society. It tells one how to achieve particular objectives at the least cost under a given set of constraints; it does not purport to answer questions regarding the future and destiny of man, questions dear to the hearts of Marxists and economic nationalists.

Liberalism is also limited by its assumption that exchange is always free and occurs in a competitive market between equals who possess full information and are thus enabled to gain mutually if they choose to exchange one value for another. Unfortunately, as Charles Lindblom has argued, exchange is seldom free and equal (Lindblom, 1977, pp. 40-50). Instead, the terms of an exchange can be profoundly affected by coercion, differences in bargaining power (monopoly or monopsony), and other essentially political factors. In effect, because it neglects both the effects of noneconomic factors on exchange and the effects of exchange on politics, liberalism lacks a true "political economy."

A further limitation of liberal economics is that its analysis tends to be static. At least in the short run, the array of consumer demands, the institutional framework, and the technological environment are accepted as constants. They are regarded as a set of constraints and op-

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portunities within which economic decisions and tradeoffs are made. Questions about the origins of, or the directions taken by, economic institutions and the technological apparatus are, for the liberal, a secondary matter. Liberal economists are incrementalists who believe that social structures tend to change slowly in response to price signals. Although liberal economists have attempted to develop theories of economic and technological change, the crucial social, political, and technological variables affecting change are considered to be exogenous and beyond the realm of economic analysis. As Marxists charge, liberalism lacks a theory of the dynamics of international political economy and tends to assume the stability and the virtues of the economic status quo.

Liberal economics, with its laws for maximizing behavior, is based on a set of highly restrictive assumptions. No society has ever or could ever be composed of the true "economic man" of liberal theory. A functioning society requires affective ties and the subordination of individual self-interest to larger social values; if this were not the case the society would fly apart (Polanyi, 1957). Yet Western society has gone far in harnessing for social and economic betterment a basic tendency in human beings toward self-aggrandizement (Baechler, 1971). Through release of the market mechanism from social and political constraints, Western civilization has reached a level of unprecedented affluence and has set an example that other civilizations wish to emulate. It has done so, however, at the cost of other values. As liberal economics teaches, nothing is ever achieved without a cost.

Critique of Economic Nationalism

The foremost strength of economic nationalism is its focus on the state as the predominant actor in international relations and as an instrument of economic development. Although many have argued that modern economic and technological developments have made the nation-state an anachronism, at the end of the twentieth century the system of nation-states is actually expanding; societies throughout the world are seeking to create strong states capable of organizing and managing national economies, and the number of states in the world is increasing. Even in older states, the spirit of nationalist sentiments can easily be inflamed, as happened in the Falkland War of 1982. Although other actors such as transnational and international organizations do exist and do influence international relations, the economic and military efficiency of the state makes it preeminent over all these other actors.

The second strength of nationalism is its stress on the importance of

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security and political interests in the organization and conduct of international economic relations. One need not accept the nationalist emphasis on the primacy of security considerations to appreciate that the security of the state is a necessary precondition for its economic and political well-being in an anarchic and competitive state system. A state that fails to provide for its own security ceases to be independent. Whatever the objectives of the society, the effects of economic activities upon political independence and domestic welfare always rank high among its concerns (Strange, 1985c, p. 234).

The third strength of nationalism is its emphasis on the political framework of economic activities, its recognition that markets must function in a world of competitive groups and states. The political relations among these political actors affect the operation of markets just as markets affect the political relations. In fact, the international political system constitutes one of the most important constraints on and determinant of markets. Since states seek to influence markets to their own individual advantage, the role of power is crucial in the creation and sustaining of market relations; even Ricardo's classic example of the exchange of British woolens for Portuguese wine was not free from the exercise of state power (Choucri, 1980, p. 111). Indeed, as Carr has argued, every economic system must rest on a secure political base (Carr, 1951 [1939]).

One weakness of nationalism is its tendency to believe that international economic relations constitute solely and at all times a zero-sum game, that is, that one state's gain must of necessity be another's loss. Trade, investment, and all other economic relations are viewed by the nationalist primarily in conflictual and distributive terms. Yet, if cooperation occurs, markets *can* bring mutual (albeit not necessarily equal) gain, as the liberal insists. The possibility of benefit for all is the basis of the international market economy. Another weakness of nationalism is due to the fact that the pursuit of power and the pursuit of wealth usually do conflict, at least in the short run. The amassing and exercising of military and other forms of power entail costs to the society, costs that can undercut its economic efficiency. Thus, as Adam Smith argued, the mercantilist policies of eighteenth-century states that identified money with wealth were detrimental to the growth of the real wealth created by productivity increases; he demonstrated that the wealth of nations would have been better served by policies of free trade. Similarly, the tendency today to identify industry with power can weaken the economy of a state. Development of industries without regard to market considerations or comparative advantage can weaken a society economically. Although states in a situation of conflict must on

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occasion pursue mercantilistic goals and policies, over the long term, pursuit of these policies can be self-defeating.

In addition, nationalism lacks a satisfactory theory of domestic society, the state, and foreign policy. It tends to assume that society and state form a unitary entity and that foreign policy is determined by an objective national interest. Yet, as liberals correctly stress, society is pluralistic and consists of individuals and groups (coalitions of individuals) that try to capture the apparatus of the state and make it serve their own political and economic interests. Although states possess varying degrees of social autonomy and independence in the making of policy, foreign policy (including foreign economic policy) is in large measure the outcome of the conflicts among dominant groups within each society. Trade protectionism and most other nationalist policies result from attempts by one factor of production or another (capital, labor, or land) to acquire a monopoly position and thereby to increase its share of the economic rents. Nationalist policies are most frequently designed to redistribute income from consumers and society as a whole to producer interests.[8]

Nationalism can thus be interpreted as either a theory of state building or a cloak for the interests of particular producer groups that are in a position to influence national policy. In their failure to appreciate fully or distinguish between the two possible meanings of economic nationalism, nationalists can be faulted for not applying, both to the domestic level and to the determination of foreign policy, their assumption that the political framework influences economic outcomes. They fail to take sufficient account of the fact that domestic political groups frequently use a nationalist rationale, especially that of national security, to promote their own interests.

Whereas in the past, land and capital were the primary carriers of nationalist sentiments, in advanced economies labor has become the most nationalistic and protectionist of the three factors of production. In a world of highly mobile capital and resources, labor seeks to use the state to advance its threatened interests. The increased power of labor in the contemporary welfare state, as I shall argue below, has become a major force for economic nationalism.

The validity of nationalists' emphasis on protectionism and industrialization is more difficult to ascertain. It is true that all great industrial powers have had strong states that protected and promoted their

[8] The literature on the political economy of tariffs and other forms of trade protectionism as rent-seeking is extensive. As noted earlier, the subject of economic policy making falls outside the scope of this book. Frey (1984b) is an excellent discussion of this approach to tariff policy and related topics.

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industries in the early stages of industrialization and that without such protectionism, the "infant" industries of developing economies probably would not have survived the competition of powerful firms in more advanced economies. Yet it is also the case that high levels of protectionism in many countries have led to the establishment of inefficient industries and even retarded economic development (Kindleberger, 1978b, pp. 19-38). In the final quarter of the twentieth century, economies like those of Taiwan and South Korea, which have limited protectionism while favoring competitive export industries, have performed better than those less developed countries that have attempted to industrialize behind high tariff walls while pursuing a strategy of import substitution.

The nationalist's bias toward industry over agriculture also must get a mixed review. It is true that industry can have certain advantages over agriculture and that the introduction of industrial technology into a society has spillover effects that tend to transform and modernize all aspects of the economy as it upgrades the quality of the labor force and increases the profitability of capital.[9] Yet one must remember that few societies have developed without a prior agricultural revolution and a high level of agricultural productivity (Lewis, 1978a). In fact, certain of the most prosperous economies of the world, for example, Denmark, the American farm belt, and western Canada, are based on efficient agriculture (Viner, 1952). In all these societies, moreover, the state has promoted agricultural development.

One may conclude that the nationalists are essentially correct in their belief that the state must play an important role in economic development. A strong state is required to promote and, in some cases, to protect industry as well as to foster an efficient agriculture. Yet this active role of the state, though a necessary condition, is not a sufficient condition. A strong and interventionist state does not guarantee economic development; indeed, it might retard it. The sufficient condition for economic development is an efficient economic organization of agriculture and industry, and in most cases this is achieved through the operation of the market. Both of these political and economic conditions have characterized the developed economies and the rapidly industrializing countries of the contemporary international system.

It is important to realize that, whatever its relative merits or deficiencies, economic nationalism has a persistent appeal. Throughout modern history, the international location of economic activities has been a

[9] Cornwall (1977) provides a representative argument of the benefits of industry over agriculture in economic development.

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leading concern of states. From the seventeenth century on states have pursued conscious policies of industrial and technological development. Both to achieve stable military power and in the belief that industry provides a higher "value added" (see Chapter Three, note 26) than agriculture, the modern nation-state has had as one of its major objectives the establishment and protection of industrial power. As long as a conflictual international system exists, economic nationalism will retain its strong attraction.

Critique of Marxist Theory

Marxism correctly places the economic problem—the production and distribution of material wealth—where it belongs, at or near the center of political life. Whereas liberals tend to ignore the issue of distribution and nationalists are concerned primarily with the *international* distribution of wealth, Marxists focus on both the domestic and the international effects of a market economy on the distribution of wealth. They call attention to the ways in which the rules or regimes governing trade, investment, and other international economic relations affect the distribution of wealth among groups and states (Cohen, 1977, p. 49).[10] However, it is not necessary to subscribe to the materialist interpretation of history or the primacy of class struggle in order to appreciate that the ways in which individuals earn their living and distribute wealth are a critical determinant of social structure and political behavior.

Another contribution of Marxism is its emphasis on the nature and structure of the division of labor at both the domestic and international levels. As Marx and Engels correctly pointed out in *The German Ideology*, every division of labor implies dependence and therefore a political relationship (Marx and Engels, 1947 [1846]). In a market economy the economic nexus among groups and states becomes of critical importance in determining their welfare and their political relations. The Marxist analysis, however, is too limited, because economic interdependence is not the only or even the most important set of interstate relations. The political and strategic relations among political actors are of equal or greater significance and cannot be reduced to merely economic considerations, at least not as Marxists define economics.

The Marxist theory of international political economy is also valuable in its focus on international political change. Whereas neither liberalism nor nationalism has a comprehensive theory of social change,

[10] The volume edited by Krasner (1982c) contains a wide-ranging discussion of the concept of international regimes.

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